

FEDERAL MARITIME COMMISSION
Office of Administrative Law Judges

BED BATH & BEYOND INC., *Complainant*

v.

ORIENT OVERSEAS CONTAINER LINE LIMITED AND
OOCL (EUROPE) LIMITED, *Respondents*.

DOCKET NO. 23-02

Served: September 28, 2023

ORDER OF: Erin M. WIRTH, *Chief Administrative Law Judge*.

**ORDER ON COMPLAINANT’S MOTION FOR PARTIAL DECISION ON THE PLEADINGS AND
RESPONDENTS’ MOTION FOR ENTRY OF A PROTECTIVE ORDER**

I. Introduction

Complainant Bed Bath & Beyond Inc. (“BBBY”) filed a complaint against Respondents Orient Overseas Container Line Limited and OOCL (Europe) Limited (collectively “Respondents” or “OOCL”), alleging violations of the Shipping Act, including sections 41102(c), 41104(a)(2), 41104(a)(10), and Commission Rule 545.5, and seeking over \$31.6 million in damages. Complaint at 29-33. OOCL filed an answer denying the allegations and raising five affirmative defenses.

On June 20, 2023, BBBY filed a motion for partial decision on the pleadings (“Pleadings Motion”), seeking a decision in Complainant’s favor with respect to Respondents’ first, second, and third affirmative defenses. On July 19, 2023, OOCL filed a response to BBBY’s motion (“Pleadings Opposition”). On August 2, 2023, BBBY filed a reply in support of its motion (“Pleadings Reply”). As explained below in section II, BBBY’s motion for partial decision on the pleadings is denied.

On August 8, 2023, OOCL filed a motion seeking a protective order for discovery requests from BBBY seeking information regarding other shippers (“Protective Order Motion”). On August 16, 2023, BBBY filed an opposition to the protective order motion (“Protective Order Opposition”). As explained below in section III, OOCL’s motion for a protective order is granted.

The order is included below in section IV. The parties should continue conducting discovery as required by the revised scheduling order issued on August 23, 2023. The parties are also encouraged to exchange settlement offers. If a settlement is reached, a motion requesting approval of the settlement agreement and a copy of the agreement must be filed.

II. Motion for Partial Decision on the Pleadings

A. Arguments of the Parties

Complainant BBY argues that three of OOCL's five affirmative defenses are baseless and should be dismissed as a matter of law, including the portion of the first affirmative defense that argues that the complaint fails to state a claim for which relief can be granted; the second affirmative defense that the Commission lacks subject matter jurisdiction; and the third affirmative defense that the Commission lacks authority to regulate the reasonableness of cargo space accommodations, or any refusal thereof, for the time period covered by the complaint. Pleadings Motion at 5-8. In its reply, BBY asserts that Respondents have failed to show that their first, second, or third affirmative defenses have any legal merit and that it is proper to jettison Respondents' legally invalid claims at this stage. Pleadings Reply at 1-15.

Respondents OOCL assert that BBY fails to satisfy the standard of review requirements; striking Respondents' defenses pre-trial is inconsistent with APA and due process requirements; Congress in 1998 sharply curtailed FMC authority to regulate service contract terms and performance; Respondents are entitled to assert the defense that § 40502(f) forecloses FMC jurisdiction and thus § 41104(a)(2) does not apply to complainant's claims; BBY's claims are outside the scope of 46 U.S.C. § 41102(c); and BBY's claims are outside the scope of 46 U.S.C. § 41104(a)(10). Pleadings Opposition at 10-30.

The lengthy first affirmative defense, at the beginning of the answer, covers a wide range of arguments including: failure to state a claim; lack of subject matter jurisdiction; inconsistent with section 41102(c)'s requirement of a normal, customary, and continuous basis; dispute of the facts; and argument that BBY "has embarked on an unfortunate campaign to distort and obfuscate the relevant facts, contracts and law, in order to secure an unwarranted return." Answer at 1-3.

The other, more traditional affirmative defenses appear after the responses to the complaint. The second affirmative defense denies that the Commission possesses subject matter jurisdiction, citing section 40502(f) as the exclusive remedy for a breach of a service contract. Answer at 14. The third affirmative defense asserts that the Commission lacks authority to regulate the reasonableness of cargo space accommodations in service contracts based on deregulation in the Ocean Shipping Reform Act ("OSRA") of 1984 and 1998. Answer at 14-15.

B. Decision on the Pleadings Standard

Although the Commission's Rules of Practice and Procedure ("Commission Rules") do not explicitly provide for decision on the pleadings, Commission Rule 12 states that the Federal Rules of Civil Procedure ("Federal Rules") will be followed in instances that are not covered by the Commission's Rules, to the extent that application of the Federal Rules is consistent with sound administrative practice. 46 C.F.R. § 502.12.

Federal Rule 12(c) provides: "After the pleadings are closed – but early enough not to delay trial – a party may move for judgment on the pleadings." The standard of review under Rule 12(c) is essentially the same as that for a motion to dismiss under Rule 12(b)(6). 2 Moore's Federal Practice - Civil § 12.38 (2021); *see also Phila. Indem. Ins. Co. v. Lend Lease United*

States Constr., 170 F. Supp. 3d 190, 192 (D.D.C. 2016); *Safbank Line Ltd. v. Royale Int'l Transp., Inc.*, 1990 FMC LEXIS 7, at *5-6 (ALJ 1990). The Commission recently explained the process:

Motions for judgment on the pleadings are brought under Federal Rule of Civil Procedure 12(c), and motions to dismiss for failure to state a claim are brought under Rule 12(b)(6). The standard of review under these motions “is essentially the same.” On either motion, fact finders are to construe claims liberally, accept as true all well-pleaded facts, and draw all reasonable inferences in the complainant’s favor. Although a fact finder “generally may not rely on facts ‘outside’ the pleadings in deciding [either] motion, . . . it may consider matters incorporated by reference or integral to the claim, items subject to judicial notice, and matters of public record.”

Ovchinnikov v. Hitrinov, 2023 WL 1963462, at *5-6 (FMC Feb. 8, 2023) (citations omitted). “Whether under Rule 12(b)(6) or (c), when the court considers matters outside the pleadings, other than matters of which the court may take judicial notice, it must treat the motion as one for summary judgment under Rule 56.” 2 Moore’s Federal Practice - Civil § 12.38 (2021).

The parties have not cited any FMC cases ruling on a respondent’s affirmative defenses as part of a motion for judgment on the pleadings. According to a recent federal district court decision:

Neither the Supreme Court nor the Ninth Circuit has ruled on whether the plausibility standard set forth in *Twombly* applies to stating affirmative defenses. The only circuit court to rule on this issue was the Second Circuit, which held that “*Twombly* applies to determining the sufficiency of all pleadings, including the pleading of an affirmative defense, but with recognition that, as the Supreme Court explained in *Iqbal*, applying the plausibility standard to any pleading is a ‘context-specific’ task.”

Moonbug Ent. Ltd. v. BabyBus (Fujian) Network Tech. Co., 2023 WL 4142969, at *1 (N.D. Cal. June 21, 2023).

The Second Circuit recently discussed the history and approaches to striking affirmative defenses and altered the three-part test for striking a timely filed affirmative defense adopted by a district court in *McCaskey*: “In order to prevail on a motion to strike [an affirmative defense], a plaintiff must show that: (1) there is no question of fact which might allow the defense to succeed; (2) there is no question of law which might allow the defense to succeed; and (3) the plaintiff would be prejudiced by inclusion of the defense.” *GEOMC Co. v. Calmare Therapeutics Inc.*, 918 F.3d 92, 96 (2d Cir. 2019) (quoting *S.E.C. v. McCaskey*, 56 F.Supp.2d 323, 326 (S.D.N.Y. 1999)). The Second Circuit explained:

Whether the first of the *McCaskey* factors should be reworded in light of *Twombly*, i.e., whether *Twombly* applies to the pleading of affirmative defenses, is an issue that has divided the many district courts and commentators that have considered it. Three comprehensive articles take three different approaches. One

article favors applying *Twombly* to affirmative defenses. See Joseph A. Seiner, *Plausibility Beyond the Complaint*, 53 Wm. & Mary L. Rev. 987 (2012). One opposes applying *Twombly* to affirmative defenses. See Justin Rand, *Tightening Twiqbal: Why Plausibility Must Be Confined to the Complaint*, 9 Fed. Cts. L. Rev. 79 (2016). One proposes a “middle-ground approach.” See Note, Nathan Pysno, *Should Twombly and Iqbal Apply to Affirmative Defenses?*, 64 Vand. L. Rev. 1633, 1670 (2011); see also 2 Moore’s Federal Practice § 12.37[4] (3d ed. 2018) (“If a plaintiff files a motion to strike one or more defenses, the better view is that the plausibility standard of *Twombly* does not apply in judging the adequacy of the defendant’s pleaded defenses, although there is some authority to the contrary.” (footnote omitted)); 5 Charles A. Wright & Arthur R. Miller, *Federal Practice & Procedure* § 1274 (3d ed. 2018) (taking no position on whether *Twombly* applies to pleading affirmative defenses).

We conclude that the plausibility standard of *Twombly* applies to determining the sufficiency of all pleadings, including the pleading of an affirmative defense, but with recognition that, as the Supreme Court explained in *Iqbal*, applying the plausibility standard to any pleading is a “context-specific” task. 556 U.S. at 679, 129 S.Ct. 1937. The Court described the context of *Iqbal* as one “where we are impelled to give real content to the concept of qualified immunity for high-level officials who must be neither deterred nor detracted from the vigorous performance of their duties.” 556 U.S. at 686, 129 S.Ct. 1937.

The key aspect of the context relevant to the standard for pleading an affirmative defense is that an affirmative defense, rather than a complaint, is at issue. This is relevant to the degree of rigor appropriate for testing the pleading of an affirmative defense. The pleader of a complaint has the entire time of the relevant statute of limitations to gather facts necessary to satisfy the plausibility standard. By contrast, the pleader of an affirmative defense has only the 21-day interval to respond to an original complaint, see Fed. R. Civ. P. 12(a)(1)(A)(i), the 21-day interval to amend, without court permission, an answer that requires a responsive pleading, see Fed. R. Civ. P. 15(a)(1)(B), or the 14-day interval to file a required response to an amended pleading that makes a new claim, see Fed. R. Civ. P. 15(a)(3). That aspect of the context matters. In addition, the relevant context will be shaped by the nature of the affirmative defense. For example, the facts needed to plead a statute-of-limitations defense will usually be readily available; the facts needed to plead an ultra vires defense, for example, may not be readily known to the defendant, a circumstance warranting a relaxed application of the plausibility standard.

The second factor identified in *McCaskey* needs no revision. There is no dispute that an affirmative defense is improper and should be stricken if it is a legally insufficient basis for precluding a plaintiff from prevailing on its claims.

Whether the third of the *McCaskey* factors, prejudice, should be a basis for dismissing or opposing the addition of an otherwise valid affirmative defense will normally depend on when the defense is presented. A factually sufficient and

legally valid defense should always be allowed if timely filed even if it will prejudice the plaintiff by expanding the scope of the litigation. A defendant with such a defense is entitled to a full opportunity to assert it and have it adjudicated before a plaintiff may impose liability. *See Lucente v. International Business Machines Corp.*, 310 F.3d 243, 260 (2d Cir. 2002). On the other hand, prejudice may be considered and, in some cases, may be determinative, where a defense is presented beyond the normal time limits of the Rules, especially at a late stage in the litigation, and challenged by a motion to dismiss or opposed by opposition to a Rule 15(a) motion. *See Anderson v. National Producing Co.*, 253 F.2d 834, 838 (2d Cir. 1958) (motion made on eighth day of trial to amend answer to add affirmative defense properly denied).

GEOMC Co. v. Calmare Therapeutics Inc., 918 F.3d at 97–99 (footnotes omitted).

C. Analysis

1. Subject Matter Jurisdiction

BBBY contends that Respondents’ first and second affirmative defenses improperly attempt to recast its Shipping Act claims as common law breach of contract claims; it is well-settled that the Commission has jurisdiction over the Shipping Act claims alleged in the complaint; the presiding officer recently rejected virtually identical arguments by multiple ocean carriers seeking to evade the FMC’s jurisdiction; and the first and second affirmative defenses are meritless under clear, long-standing precedent and the plain language of the Shipping Act. Pleadings Motion at 6-15; *see also* Pleadings Reply at 2-4.

OOCL asserts that Respondents are entitled to assert the defense that § 40502(f) forecloses FMC jurisdiction and thus § 41104(a)(2) does not apply to Complainant’s claims. Pleadings Opposition at 20-26.

Section 40502(f) provides: “Unless the parties agree otherwise, the exclusive remedy for a breach of a service contract is an action in an appropriate court. The contract dispute resolution forum may not be controlled by or in any way affiliated with a controlled carrier or by the government that owns or controls the carrier.” 46 U.S.C. § 40502(f).

In *Cargo One*, the Commission specifically addressed whether section 40502(f), formerly section 8(c), precluded Commission jurisdiction over complaints alleging Shipping Act violations related to service contracts:

Given the specificity the Shipping Act provides with respect to the types of complaints a person may not bring (i.e., only section 6(g)), and given the specificity as to types of relief available for various violations of the Prohibited Acts, we believe that Congress did not intend that the section 8(c) “exclusive remedy” language would nullify the sections 10 and 11 rights of complainants to bring suit on any matter tangentially or even substantially related to service contract obligations. Moreover, if parties were not meant to obtain reparations for violations of section 10 stemming from transportation under service contracts, it is

likely that the statute would have clearly limited either the types of proceedings which can be initiated by private complainants, or the availability of reparations.

Cargo One, Inc. v. Cosco Container Lines Co., Ltd, 28 S.R.R. 1635, 2000 WL 1648961, at *12 (FMC Oct. 31, 2000). The Commission also stated that it was “Congress’ intention that the Commission is the appropriate forum for resolving allegations of violations of certain section 10 Prohibited Acts, *even if they arise from transportation governed by a service contract.*” *Cargo One*, 2000 WL 1648961, at *12 (emphasis added). The Commission focused on whether a claim was inherently a breach of contract claim or whether it involved elements particular to the Shipping Act, stating:

For section 8(c) to have meaning, it must have been intended to preclude the filing of some complaints of Shipping Act violations, and not just breach of contract claims, as such claims would not be actionable before the Commission in any event. Thus, it is “reasonable to construe [s]ection 8(c) to apply to actions alleging a violation of the 1984 [Shipping] Act.” *Vinmar* at 424. However, we find it inappropriate and contrary to the intent of the statute that section 8(c) bar any Shipping Act claim which bears some similarity to, overlaps with, or is couched in terms suggesting that the remedy may be available in a breach of contract action. *We believe the more appropriate test is whether a complainant’s allegations are inherently a breach of contract claim, or whether they also involve elements peculiar to the Shipping Act.* We find that as a general matter, allegations essentially comprising contract law claims should be dismissed unless the party alleging the violation successfully rebuts the presumption that the claim is no more than a simple contract breach claim. In contrast, where the alleged violation raises issues beyond contractual obligations, the Commission will likely presume, unless the facts as proven do not support such a claim, that the matter is appropriately before the agency.

Cargo One, 2000 WL 1648961, at *14 (emphasis added). The Commission elaborated:

While section 8(c) reasonably precludes the Commission from adjudicating breach of contract claims, the courts more properly equipped to address those matters are not authorized to address Shipping Act matters exclusively within the Commission’s jurisdiction. Such issues are not addressed in actions for breach of contract and no remedy for such violations would be provided in a breach of contract action. Moreover, as noted *supra*, reliance on the Commission to pursue such violations *sua sponte* in its investigatory role would eviscerate the reparations remedy afforded complainants by the statute. Therefore, we find that the ALJ should proceed to consider those claims.

Cargo One, 2000 WL 1648961, at *15.

In *Anchor Shipping*, the Commission addressed the question of “whether a party to a service contract who participated in arbitration and either could have or did raise all relevant Shipping Act claims in that proceeding, should now be barred from bringing a complaint before the Commission that pertains to the same service contract.” *Anchor Shipping Co. v. Aliança*

Navegação E Logística Ltda., 30 S.R.R. 991, 2006 WL 2007808, at *7 (FMC May 10, 2006). Discussing its statutory authority, the Commission found that “the ALJ improperly dismissed Anchor’s complaint,” stating:

The arbitration clause in the parties’ service contract does not outweigh the Commission’s duty to protect the public by ensuring that service contracts are implemented in accordance with the Shipping Act. *Although service contracts are between private parties, the Commission regulates the content as well as the conduct under the contracts.* The regulation of service contracts is akin to the regulation of agreements, because the Commission is the regulatory body charged with administering the Shipping Act and, therefore, must ensure that service contracts and agreements are filed and implemented pursuant to the statutory requirements and Commission regulations.

Anchor Shipping, 2006 WL 2007808, at *8 (emphasis added). The Commission further stated:

The Commission has an interest in ensuring that service contracts are used in a manner that complies with the Shipping Act and the Commission’s regulations, so that it can be certain that the public and the shipping industry are protected. This interest outweighs the intentions of two private parties, as set forth in the arbitration clause of their service contract. While section 8(c) provides that parties to a service contract may agree to arbitrate breach of contract issues, it was not Congress’ intent that the Commission be barred from adjudicating whether the parties’ conduct violates the Shipping Act and Commission regulations.

Anchor Shipping, 2006 WL 2007808, at *10 (citing *A/S Ivarans Rederi v. U.S.*, 895 F.2d 1441 (D.C. Cir. 1990)); see also *Mediterranean Shipping Co. USA v. Cargo Inc.*, 46 F. Supp. 3d 294, 301 (S.D.N.Y. 2014) (“alleged violations of the Shipping Act must be addressed with the Federal Maritime Commission.”).

Thus, the question presented here is whether to grant a decision on the pleadings regarding the first and second affirmative defenses asserting that BBY’s claims are inherently a breach of contract claim or whether they also involve elements peculiar to the Shipping Act. The analysis starts by reviewing the complaint and the affirmative defenses.

The complaint alleges:

This Shipping Act dispute arises from allegations that OOCL systematically and repeatedly failed to meet its service commitments to Complainant and other shippers and instead (1) allocated bargained-for space away from shippers with service contracts to other shippers to maximize OOCL’s own profits, (2) coerced higher pricing by forcing Complainant and other shippers to enter into higher priced contracts as a precondition for OOCL to carry just a fraction of the quantity to which it had already committed, and (3) demanded unreasonable, extra-contractual Peak Season Surcharges and other surcharges just in order to carry a fraction of the cargo for which Complainant and other shippers had already bargained for space. As a result of this alleged conduct, Complainant and other

shippers were either forced to pay OOCL's increasingly exorbitant demands just to get the space to which OOCL had already committed in its service contracts with Complainant and other shippers (the "Service Contracts") or obtain space on the spot market at enormous expense during a period of unprecedented high spot prices. The Complaint also alleges that OOCL charged impermissible detention and demurrage charges (the "Charges") when Complainant and its agents were unable to pick up and return containers due to circumstances outside the control of Complainant or its agents.

Complaint at 6 (citations omitted).

The second affirmative defense states in its entirety:

Without waiving any other defenses, and for further answer, Respondents deny that the Federal Maritime Commission possesses subject matter jurisdiction over this case. Complainant alleges a breach or breaches of its service contract with Respondents. 46 U.S.C. § 40502(f) provides that the exclusive remedy for an alleged breach of a service contract (including any cause of action premised on the obligation to meet one's service contract commitments) is "an action in an appropriate court," not the Commission.

Answer at 14. The first affirmative defense, in relevant part, states:

More fundamentally, the Commission clearly lacks subject matter jurisdiction over BBY's assertions that Respondents breached the service contracts (either expressly or implicitly). The Shipping Act prescribes that "the exclusive remedy for a breach of a service contract is an action in an appropriate court." The Commission has long held that this section bars all claims premised on the obligation to meet one's contract commitments; BBY cannot create [sic] unilaterally expand the agency's jurisdiction by relabeling contract-based claims as Shipping Act violations.

Answer at 2.

OOCL has not moved to dismiss BBY's claims, rather, BBY has moved for a decision on some of OOCL's affirmative defenses. However, determination of whether this affirmative defense is plausible depends on whether the evidence involves elements peculiar to the Shipping Act or just a breach of contract, and such evidence has not yet been fully developed. Such a determination is premature at this point in the proceeding, when discovery has not been completed. Moreover, BBY has not argued that it is prejudiced by allowing any of the affirmative defenses to remain. BBY has not established that this affirmative defense is not plausible in context, legally insufficient, or prejudicial. If, after discovery, the facts show that this is no more than a breach of contract claim, Respondents may assert this defense. Therefore, the motion for partial decision on affirmative defense two and the portion of affirmative defense one discussing subject matter jurisdiction is denied.

2. Failure to State a Claim

a. 41104(a)(10)

The first affirmative defense asserts, in part, that BBY fails to state a claim for which relief can be granted and contests the factual basis of the claims, asserting that “Respondents performed all the commitments as required by the service contracts, which were amended by mutual agreement before their expiration, and duly filed with the Commission.” Answer at 2. OOCL argues that BBY’s claims are outside the scope of section 41104(a)(10) prohibiting unreasonable refusal to deal, as the allegations “fall well outside the test set out by the Commission.” Pleadings Opposition at 29-30.

BBY asserts that “on the merits, it is incorrect for Respondents to contend that Complainant’s allegations regarding systemic failures to meet service commitments, failures to provide contracted space without PSS [Peak Season Surcharge] or premium rates, and other failures with respect to Complainant and, upon information and belief, other shippers, do not state a claim under Section 41104(a)(10).” Pleadings Reply at 7-8.

To prevail in a proceeding to enforce the Shipping Act, a complainant bears the burden of proving their allegations by a preponderance of the evidence. 5 U.S.C. § 556(d); 46 C.F.R. § 502.203; *Maher Terminals, LLC v. Port Auth. of N.Y. & N.J.*, Docket No. 08-03, 2014 WL 9966245, at *14 (FMC Dec. 17, 2014). Under the preponderance standard, a complainant must show that their allegations are more probable than not. *Crocus Investments, LLC v. Marine Transport Logistics, Inc.*, Docket No. 15-04, 2021 WL 3732849, at *3-4 (FMC Aug. 18, 2021) (Order Affirming Initial Decision on Remand). Thus, BBY has the burden to establish its claims and OOCL may challenge the factual basis of those claims.

BBY has not established that this affirmative defense is not plausible in context or legally insufficient, and has not argued that it is prejudicial. At this stage in the proceeding, before discovery has been completed, ruling on this affirmative defense would be premature.

b. 41102(c) and Commission Rule 545.5

Affirmative defense one includes an allegation that BBY’s 41102(c) claim is misplaced and fails to show that the regulated entity has engaged in a practice or regulation on a normal, customary, and continuous basis and is unjust or unreasonable. Answer at 2. In their opposition, OOCL primarily argues that BBY’s claims are outside the scope of section 41102(c) because they are not related to or connected with receiving, handling, storing, or delivering property but rather transportation functions. Pleadings Opposition at 25-29. BBY claims that OOCL waived this transportation defense by failing to raise it previously and even if the new defense is not waived, it is irrelevant and baseless. Pleadings Reply at 5-7.

As complainant, BBY has the burden to establish that the regulations and practices at issue relate to or are connected with receiving, handling, storing, or delivering property. OOCL’s arguments about whether the regulations and practices here are consistent with the requirements of section 41102(c) have not been waived and are relevant to the proceeding. However, the arguments regarding whether Respondents are regulated entities that engaged in an unjust or unreasonable practice or regulation related to receiving, handling, storing, or delivering property

on a normal, customary, and continuous basis is primarily a factual issue that would be premature to determine at this stage of the proceeding, prior to discovery. Like the other issues raised by the pleadings motion, the ultimate determination will not be made until after discovery and briefing. However, to assist the parties as they proceed, a discussion of Respondents' legal arguments is worthwhile.

OOCL argues that "BBBY's purported claim under 46 U.S.C. § 41102(c), however, does not involve 'receiving, handling, storing, or delivering property,' as that term has always been defined by the Commission;" that the Commission "has uniformly considered the provision of space to be a 'transportation' function, not 'receiving, handling, storing, or delivering property;'" and that this "understanding by the Commission as to the difference between the transportation function and the function of receiving, handling, storing, or delivering property dates back to at least 1939." Pleadings Opposition at 26. BBBY asserts that "it is legally incorrect for Respondents to contend that Section 41102(c) does not prohibit misconduct as it relates to transportation and space accommodation." Pleadings Reply at 6.

OOCL starts by citing a 1939 case. Pleadings Opposition at 26-27. In *Los Angeles By-Products Co. v. Barber S.S. Lines*, the Commission found that "collection of separate charges for handling general cargo beyond ship's tackle at California ports, in connection with shipments moving in foreign commerce, has not been shown to be an unreasonable practice in violation of section 17 of the Shipping Act, 1916." *Los Angeles By-Products Co. v. Barber S.S. Lines*, 2 U.S.M.C. 106, 115 (FMC 1939). Without citation, the Commission stated that section 17, second paragraph, "relates to services performed at the terminal as distinguished from the carrying or transporting by the vessel," but later stated that the "measure of the total transportation charge is not in issue in these proceedings." *Id.* at 114. Because the transportation charges were not at issue, comments about them were dicta, not central to the finding that separate charges for handling services in addition to transportation charges were not unreasonable.

However, in *Bills of Lading - Incorporation of Freight Charges*, the Commission held that it did not have jurisdiction to order carriers in the export trade to incorporate their freight and other charges in their bills of lading. 3 U.S.M.C. 111, 112 (FMC 1949). The Commission compared section 17 with the language in section 18 of the Shipping Act, 1916, finding that jurisdiction over domestic commerce was "much broader in scope and more definitely defined than over foreign commerce," explaining:

We are given specific authority under such section to determine, prescribe, and order enforced just and reasonable regulations or practices in connection with, not only the receiving, handling, storing, or delivering of property but also the transportation thereof, as well as the rates, fares, charges, and the form and substance of tickets, receipts, and bills of lading applicable thereto. This section is so carefully worded as to show a distinction between the processes of transportation and those applicable to the activities which precede and follow the actual transportation. On the other hand, section 17, second paragraph, is confined to the receiving, handling, storing, or delivering of property, to the exclusion of transportation and rates, fares, and charges in connection therewith.

Bills of Lading - Incorporation of Freight Charges, 3 U.S.M.C. at 112; see also *ANERA and Its Members - Opting Out of Service Contracts*, 28 S.R.R. 1215, 1229, 1999 WL 1294883, at *19 (FMC Sept. 29, 1999) (The Commission declined to address the alleged violation of Section 10(d)(1) because the practice had been found to violate different sections, but commented: “ANERA also states a forceful case that the practices at issue here – the service contract provisions stating line haul rates – do not come within that section’s limitation to the functions of receiving, handling, storing, and delivering cargo.”).

In 1989, the D.C. Circuit addressed the scope of 10(d)(1) (now 41102(c)) and rejected the argument that section 17 applied only to physical services performed at the terminal, stating:

The Commission, however, relies on section 10(d)(1) of the 1984 Act, *id.* section 1709(d)(1), which states: “No common carrier, ocean freight forwarder, or marine terminal operator may fail to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property.” Section 10(d)(1) was derived from section 17 of the 1916 Act, 46 U.S.C.App. section 81646 U.S.C.App. section 816. The NCBFAA counters that the FMC had long applied section 17 only to physical services performed at the terminal. Brief of Petitioner at 28–29. Although some forwarder activities, petitioner thus maintains, are subject to the Commission’s ‘reasonable practice’ jurisdiction, those activities do not include fee arrangements for forwarding services preliminary to an actual shipment. Reply Brief of Petitioner National Customs Brokers & Forwarders Association of America, Inc. at 15–16.

In *American Union Transport*, 327 U.S. 437, 66 S.Ct. 644, 90 L.Ed. 772, the Supreme Court recognized broad Commission authority to regulate forwarders, stating: “By the nature of their business, independent forwarders are intimately connected with” the activities listed under section 17, that is, “the receiving, handling, storing or delivering of property.” *Id.* at 449, 66 S.Ct. at 650. To confine “reasonable practice” jurisdiction to physical cargo handling services performed at the terminal, the FMC indicates, would be inconsistent with *American Union Transport*; such an interpretation, in large measure, would place freight forwarders outside the statute because forwarders (unlike carriers and terminal operators—the other entities covered by section 10(d)) traditionally do not operate at terminals. Brief of Respondents at 33. We are satisfied that the Commission has fairly and reasonably construed section 10(d)(1)’s scope and now turn to the specific regulations the NCBFAA challenges.

Nat’l Customs Brokers & Forwarders Ass’n of Am., Inc. v. United States, 883 F.2d 93, 98-99 (D.C. Cir. 1989) (Ruth B. Ginsburg) (footnote omitted) (practices discussed included mark-ups and rebates). The court concluded that: “We uphold the FMC’s constant rule on the ground that the Commission, in the reasonable exercise of its rulemaking authority, may interpret section 10(d)(1) to prohibit forwarder discrimination in the charges billed to customers.” *Nat’l Customs Brokers & Forwarders Ass’n of Am., Inc.*, 883 F.2d at 100.

The Commission recently addressed its jurisdiction in 41102(c) claims, stating:

In addition, although the Commission has not elected to issue a legislative rule in this case, the Commission disagrees with the contention that it lacks the authority to issue rules prohibiting practices or regulations determined to be unjust or unreasonable. The Commission has broad general rulemaking authority under 46 U.S.C. 305, which provides that the Commission “may prescribe regulations to carry out its duties and powers.” The Commission has relied on this authority and § 41102(c) to issue regulations prohibiting certain practices determined to be unjust and unreasonable, and the D.C. Circuit has affirmed this authority.

Interpretive Rule on Demurrage and Detention under the Shipping Act, 85 Fed. Reg. 29638, 29644 (May 18, 2020) (footnotes omitted).

Thus, although there may have originally been some question about whether section 41102(c) extended to rates, that question has been resolved by the D.C. Circuit, relying on Supreme Court precedent. Therefore, shipping rates may be considered part of receiving, handling, storing, or delivering property. However, a decision on the pleadings is premature at this point as discovery has not been completed. BBBY has the burden to establish its claim prior to reaching the merits of Respondents’ defenses. Therefore, the motion for partial decision on affirmative defense one’s allegations of failure to state a claim is denied.

3. Cargo Space Accommodations in Service Contracts

BBBY contends that Respondents’ third affirmative defense fails on the merits because the 2022 Shipping Act amendments did not change the scope of the Commission’s jurisdiction with respect to the allegations in the complaint, arguing that OSRA 2022’s amendments do not affect the counts brought in this action and that the 2022 Shipping Act amendments did not categorically “restore” prior jurisdiction that Respondents claim to have been previously removed. Pleadings Motion at 18-22.

OOCL asserts that Congress, in 1998, sharply curtailed FMC authority to regulate service contract terms and performance so that “the Commission’s authority to regulate service contracting was specifically limited to three narrow prohibitions, none of which are at issue in this case: (1) status-based discrimination against ocean transportation intermediaries; (2) unjust discrimination against ports; and (3) undue prejudice regarding localities.” Pleadings Opposition at 13-19.

BBBY asserts in its reply that there are no changes between OSRA 1998 and OSRA 2022 to support Respondents’ third affirmative defense; Respondents’ redline hurts, rather than supports, their theory; caselaw and contemporaneous public statements disprove Respondents’ theory; and the speeches Respondents cite do not support the narrow interpretation of the Shipping Act espoused by Respondents. Pleadings Reply at 9-11.

The third affirmative defense states:

Without waiving any other defenses, and for further answer, Respondents assert that the Commission lacks authority to regulate the reasonableness of cargo space accommodations, or any refusal thereof, for the time period covered by the Complaint. While the Shipping Act, 1916 authorized the Commission to broadly

regulate the reasonableness of cargo space accommodations, the Shipping Act of 1984 removed that authority with regard to service contracts. In the Ocean Shipping Reform Act of 1998, Congress continued this deregulatory narrowing of FMC authority, clarifying that the Shipping Act bars unfair or unjustly discriminatory practices in the matter of cargo space accommodations (or other unfair or unjustly discriminatory methods) only when undertaken in connection with service pursuant to a tariff. Congress purposefully eliminated the Commission’s power to regulate the reasonableness of cargo space accommodations for service pursuant to a service contract, in favor of a deregulatory market-based approach. Congress only restored FMC authority to regulate space accommodations under service contracts in the Ocean Shipping Reform Act of 2022, enacted after the conduct at issue in the Complaint. The Commission cannot repurpose other provisions of the Shipping Act in novel and unintended ways, in order to reclaim regulatory powers that Congress specifically removed.

Answer at 14-15.

BBBY asserts that the third affirmative defense addresses OSRA changes but that OSRA 2022 did not make any changes to sections 41102(c) and 41104(a)(2), which form the legal basis of counts I, II, and III. Pleadings Motion at 18. Although OOCL states that the third affirmative defense applies to sections 41102(c) and 41104(a)(2), it does not explain how, with its arguments instead focusing on section 41104(a)(10). Pleadings Opposition at 13. Section 41104(a)(2) explicitly applies to service contracts. 46 U.S.C. § 41104(a)(2). Given Respondents’ admission that OSRA 2022 provides jurisdiction over Complainant’s claims, Pleadings Opposition at 19, and the uncontested lack of change between OSRA 1998 and OSRA 2022 with respect to sections 41102(c) and 41104(a)(2), the third affirmative defense would not apply to sections 41102(c) and 41104(a)(2). Therefore, these arguments will be discussed further only in relation to section 41104(a)(10).

Prior to OSRA 2022, section 41104(a)(10) stated that a common carrier may not “unreasonably refuse to deal or negotiate” and after OSRA 2022, section 41104(a)(10) states that a common carrier shall not “unreasonably refuse to deal or negotiate, including with respect to vessel space accommodations provided by an ocean common carrier.” 46 U.S.C. § 41104(a)(10). BBBY asserts that the OSRA 2022 change adding an example “cannot plausibly be read as somehow implying that the preexisting unbounded scope of that provision was somehow limited.” Pleadings Motion at 19. This argument is consistent with the interpretation in *West v. Gibson*, that the “preceding word ‘including’ makes clear that the authorization is not limited to the specified remedies there mentioned” *West v. Gibson*, 527 U.S. 212, 217 (1999).

Respondents assert that OSRA 1998 “bifurcated the reasonableness and anti-discrimination prohibitions into separate subsections for tariff service (with very broad prohibitions) on the one hand, and service-contract service (with very narrow prohibitions reaching only port-, locality-, and ‘status’-based discrimination) on the other.” Pleadings Opposition at 14. Respondents acknowledge that these changes were necessary as “service contracts are inherently ‘discriminatory’ in that the signatories get better deals than non-signatories.” Pleadings Opposition at 17 (quoting S.Hrg 105-57, S. 414, *the Ocean Shipping Reform Act of 1997*, p. 45).

It is not clear, however, how the discussion of changes to discrimination and prejudice provisions is relevant as the complaint does not allege discrimination or prejudice which are found at sections 41104(a)(5) and 41104(a)(9).

It is helpful to briefly discuss the history of the Shipping Act of 1984 and OSRA 1998:

In addition to providing service pursuant to tariff rates, under the Shipping Act of 1984 and OSRA, ocean common carriers and carrier agreements containing appropriate authority may also provide ocean transportation pursuant to a service contract. Since the enactment of OSRA in 1998, the ocean shipping regime of public tariffs has given way to a system of confidential service contracts between carriers and their customers. Such service contracts have become the predominant means of providing ocean transportation.

Unlike tariff rates that may be modified periodically by the carrier, under a service contract a shipper may lock in its rates (or a rate schedule or formula) for ocean transportation of cargo for a fixed time period, regardless of fluctuations in the tariff rate. It also guarantees certain carrier services, such as assurances of space or sailing frequency. In exchange the service contract shipper promises to ship a certain minimum quantity of cargo or portion of its cargo pursuant to the terms of the contract.

Thomas J. Schoenbaum, 1 Admiralty & Mar. Law § 10:2 (C)(2)(e) (6th ed.) (Dec. 2022) (citations omitted). While the Shipping Act of 1984, as amended by OSRA 1998, expanded the availability of service contracts, it did not deprive the Commission of jurisdiction or limit the Commission's authority to regulate service contracts.

In reviewing the pre-2022 OSRA section 41104 applicable here, it is clear that both service contracts and cargo space accommodations are regulated, as they are explicitly mentioned. *See, e.g.*, 46 U.S.C. § 41104(a)(1) (a common carrier may not “allow a person to obtain transportation for property at less than the rates or charges established by the carrier in its tariff or *service contract*” by enumerated means); 41104(a)(2) (a common carrier may not “provide service in the linter trade that is –(A) not in accordance with the rates, charges, classifications, rules, and practices contained in a tariff published or a *service contract* . . .” or “(B) under a tariff or *service contract* that has been suspended or prohibited”); 41104(a)(3) (a common carrier may not “retaliate against a shipper by refusing, or threatening to refuse, *cargo space accommodations* when available, . . .”); 41104(a)(5) and (9) (“for service pursuant to a *service contract* . . .”); and 41104(a)(12) (a common carrier may not “knowingly and willfully enter into a *service contract* . . .”). If Congress wanted to prohibit sections 41102(c), 41104(a)(2), or 41104(a)(10) from applying to service contracts or to cargo space accommodations, it could have done so.

Therefore, the Commission has authority to regulate the reasonableness of cargo space accommodations in service contracts, or any refusal thereof, for the time period covered by the complaint. However, as previously discussed, it is not appropriate at this early stage to grant judgment on the pleadings to BBY as to OOCL's third affirmative defense as BBY has the burden to establish its claim prior to reaching the merits of Respondents' defenses. Therefore, the

motion for partial decision on affirmative defense three is denied.

4. Conclusion

BBBY has not established that a decision on Respondents' first three affirmative defenses is appropriate at this stage in the proceeding. Allowing the case to move forward will provide both sides an opportunity to undertake discovery to obtain relevant evidence and further develop their cases. Accordingly, BBBY's motion for decision on the affirmative defenses is denied.

III. Motion for Protective Order

A. Argument of the Parties

OOCL moves for a protective order precluding BBBY from issuing "discovery requests seeking information related to Respondents' relationship with other shippers or, in the alternative, for a protective order narrowly tailoring the scope of Complainant's discovery requests" and a hearing on the motion. Protective Order Motion at 1. OOCL argues that a protective order is required because the discovery sought is related to a legally untenable claim and even if the discovery sought were relevant to this dispute – which it is not – the presiding officer should enter a protective order rejecting or narrowing the requests because BBBY's virtually unbounded "other shippers" discovery requests are prohibitively burdensome; and in the alternative, proposes that "other shipper" discovery be stayed until BBBY's motion is decided. Protective Order Motion at 7-12.

BBBY opposes the protective order motion, asserting that the motion "seeks to improperly preclude necessary discovery into issues that lie at the very core of BBBY's Shipping Act claims against OOCL." Protective Order Opposition at 1. BBBY asserts that it need not prove its claims in order to seek discovery, and the presiding officer has already determined that the requested discovery is relevant and appropriate for substantially identical claims under 46 U.S.C. § 41102(c); discovery of OOCL's conduct with respect to other shippers is critical to BBBY's claims; the scope of issues in dispute is limited in time and subject matter, and BBBY has offered to work with OOCL to limit the scope further; OOCL's undue burden argument is premature because it has not conducted any searches; this is not a fishing expedition; and there is no basis to stay discovery pending the resolution of the motion for judgment on the pleadings. Protective Order Opposition at 2-10.

B. Legal Standard

The Commission's Rules permit discovery "regarding any nonprivileged matter that is relevant to any party's claim or defense." 46 C.F.R. § 502.141(e)(1).

On motion or on its own, the presiding officer may limit the frequency or extent of discovery otherwise allowed by these rules if the presiding officer determines that:

(A) The discovery sought is unreasonably cumulative or duplicative, or can be obtained from some other source that is more convenient, less burdensome, or less expensive;

(B) The party seeking discovery has had ample opportunity to obtain the information by discovery in the action; or

(C) The burden or expense of the proposed discovery outweighs its likely benefit, considering the needs of the proceeding, the amount in controversy, the parties' resources, the importance of the issues at stake in the action, and the importance of the discovery in resolving the issues.

46 C.F.R. § 502.141(e)(2)(ii). The Commission's Rules also permit the presiding officer to "issue an order to protect a party or person from annoyance, embarrassment, oppression, or undue burden or expense." 46 C.F.R. § 502.141(j).

C. Discovery Requests

The protective order motion describes the discovery requests at issue.

As a result of the necessarily large number of custodians and the significant period implicated by the Parties' claims and defenses in this action, the Parties mutually agreed to prepare a Protocol Regarding Electronically Stored Information (the "ESI Protocol"). The purpose of the ESI Protocol is to limit the scope of discovery and their respective burdens through negotiated search terms. The Parties intend the ESI Protocol to govern the collection, review, and production of documents and ESI in response to the Parties' respective discovery requests, including proposed date ranges, custodians, and search terms. The ESI Protocol anticipates the collection and review of documents from forty-eight custodians for a period dating back to at least January 2020 (and possibly back to January 2017).

The Parties have reached agreement on most of the ESI Protocol but cannot reach agreement on discovery with respect to the "Other Shipper Requests," i.e., those reflected in Exhibit B attached herewith. In particular, Complainant requested an extremely broad range of documents and communications concerning Respondents' policies, practices and conduct with respect to shippers other than Complainant during the period from January 1, 2020, through at least June 9, 2023.

Protective Order Motion at 4-5; *see also* Protective Order Motion Exhibit B (specific requests and responses).

BBBY asserts:

[T]he scope of the issues in dispute is relatively limited. BBBY has already acknowledged in negotiations with OOCL that the requested discovery with respect to other shippers should focus on the same port pairs that were covered by BBBY's service contracts with OOCL, and likely could exclude refrigerated cargo, thereby providing concrete, practical limits on the scope of discovery.

Protective Order Opposition at 5-6. In addition, BBY has “previously suggested that it could potentially agree to limit the time frame of discovery of information regarding other shippers to May 1, 2020 through April 30, 2022 (i.e., a time period corresponding to the terms of the two service contracts implicated in this case)” and “OOCL has further proposed that discovery with respect to its dealings with other shippers be limited to shippers that shipped ‘General Department Store Merchandise’ (‘GDSM’) cargo with OOCL. BBY has not agreed to this limitation However, neither are the parties necessarily at an impasse on this point.” Protective Order Opposition at 6.

D. Analysis

OOCL’s first argument is that discovery regarding “other shippers” is related to legally untenable claims, relying primarily on the arguments raised in the pleadings motion addressed above regarding cargo space accommodations being outside the scope of section 41102(c), which it alleges only covers transportation functions. Protective Order Motion at 7. For the reasons outlined above, OOCL’s first argument is not persuasive. The complaint alleges plausible Shipping Act claims and the caselaw does not support OOCL’s argument that the Commission lacks jurisdiction to decide cargo space accommodation claims or that these claims do not constitute receiving, handling, storing, or delivering of property. Accordingly, a protective order is not appropriate based on the legal tenability of the claims. Relatedly, OOCL’s last argument, that this discovery should be stayed until a decision is issued on the pleadings motion, is moot.

OOCL’s remaining argument is more persuasive – that a protective order rejecting or narrowing the requests is necessary because the requests are prohibitively burdensome. Protective Order Motion at 8. OOCL states that it would be burdensome to search and produce potentially millions of documents regarding OOCL’s contractual relationships with its 1,300 other shippers. Protective Order Motion at 9. What neither party discusses is that these are likely commercially sensitive documents with non-parties who compete with BBY for cargo space.

BBY asserts that the undersigned has already determined that the discovery is relevant and appropriate in a similar proceeding. However, no finding of relevance has been made in this proceeding, which has a different factual basis than the proceeding cited. Given the potential size of the request and the nature of the material as commercially sensitive for non-parties, a specific showing of relevance will be necessary.

BBY contends that the undue burden argument is premature because OOCL has not conducted any searches yet. Protective Order Motion at 8-9. However, OOCL provided a rough estimate based on the number of customers it has and likely documents for each customer. That is sufficient to establish that the search would be significant and to require BBY to establish the relevance of the material sought.

BBY next argues that the “other shipper” discovery is critical to its claims, including that the claimed acts or omissions are occurring on a normal, customary, and continuous basis. Protective Order Motion at 4. When the Commission adopted Rule 545.4, specifying this element of a section 41102(c) claim, it did not address the impact the requirement would have on discovery. See Final Rule: Interpretive Rule, Shipping Act of 1984, 83 Fed. Reg. 64478 (Dec. 17,

2018); Notice of Proposed Rulemaking, 83 Fed. Reg. 45367 (Sept. 7, 2018). However, there is no evidence indicating that the Commission intended to make every service contract entered into by non-party competitors relevant to a proceeding, in an attempt to show that acts are occurring on a normal, customary, and continuous basis. Such a reading would unduly expand the time and expense of proceedings. Indeed, in the many proceedings litigated since the rule, evidence regarding contracts with competitors have not typically been determinative as there are other ways to show a practice. Indeed, as permitted here, narrowly tailored discovery aimed at previous complaints, refunds, or efforts to ameliorate may identify relevant evidence more efficiently. Particularly in the service contract context, where each agreement is negotiated based on individual circumstances, it is not clear that these “other shipper” contracts would be relevant to determining whether there was a violation of section 41102(c) here. Therefore, alleging a violation of section 41102(c), alone, is not sufficient to make these “other shipper” contract terms relevant to this proceeding. Similarly, alleging concerted or coordinated conduct, an antitrust concept, is not required by or necessarily relevant to establishing a violation of the Shipping Act, and is not sufficient to make such discovery relevant.

If BBY identifies or has a specific reason to believe that evidence regarding OOCL’s contracts with a specific non-party is relevant, it may seek such narrowly tailored evidence. However, it will need to show that the specific evidence sought is relevant. In addition, the evidence would be limited along the lines to which the parties have already agreed. For example, the parties agreed that any “other shipper” discovery should be limited to the same port pairs that were covered by BBY’s service contracts with OOCL and would exclude refrigerated cargo. BBY further suggests that such discovery should be limited to no more than the two-year period at issue – from May 1, 2020, through April 30, 2022. The parties have not reached agreement on limitations to the type of cargo shipped, however, they could revisit that discussion, if needed.

At this point in the proceeding, OOCL has established that a protective order prohibiting BBY from conducting general discovery regarding specific service contract terms with all “other shippers” is justified because the burden or expense of the proposed discovery outweighs its likely benefit, considering the needs of the proceeding, the amount in controversy, the parties’ resources, the importance of the issues at stake in the action, and the importance of the discovery sought in resolving the issues. However, BBY may seek specific, narrowly tailored evidence if it shows that the evidence would be relevant to this proceeding.

Exhibit B to the protective order motion identifies 28 requests for production of documents and 15 interrogatories, with Respondents’ objections, at issue. The majority of those requests would not be prohibited by this order. For example, BBY may seek information about OOCL’s practices and procedures regarding all shippers, such as all documents and communications concerning OOCL’s practices, policies, procedures, protocols, or strategies for relevant issues such as reserving or allocating cargo space, the ability to pick up cargo, etc. for the cargo of any Shipper with or without service contracts. *See* Exhibit B, Requests 10-13, 15, 23, 27-28. Similarly, requests to identify all persons with decision-making authority are appropriate, *see* Exhibit B, Requests 14, 16, Interrogatories 9-12, 14-16; as are questions about complaints, refunds, or efforts to ameliorate, *see* Exhibit B, Requests 25-26, 47, Interrogatories 27, 30.

This decision does not prohibit inquiry into issues that were not briefed or addressed by the parties such as OOCL data, including total demand, cargo capacity, or revenues, nor does it prohibit inquiry into communications between OOCL and other entities, such as other vehicle operating common carriers, ports, or marine terminal operators as these are not “other shippers.” See Exhibit B, Request 24, 29-30, 36-39, 45-46, Interrogatories 21(a-g), 22, 25, 32.

However, without additional evidence of relevance, BBY may not seek discovery regarding the identity, prices, dates, time frames, minimum quantity commitments, or other contract terms for all “other shippers.” See Exhibit B, Requests 17-20, 33-34, Interrogatories 21(h-m), 23-24.

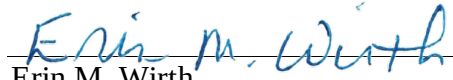
Because the parties provided sufficient information in their pleadings to decide the protective order motion, no additional information is required and the request for an oral hearing on the motion is denied.

IV. Order

Upon consideration of the record herein, the arguments of the parties, and the conclusions and findings set forth above, it is hereby

ORDERED that BBY’s motion for decision on the affirmative defenses be **DENIED**.
It is

FURTHER ORDERED that OOCL’s motion for entry of a protective order be **GRANTED** as explained above.


Erin M. Wirth
Chief Administrative Law Judge